



THE COMPLETE GUIDE TO

FUNDAMENTAL ANALYSIS OF STOCKS

- ✦ Financial Statements & Schedule III
- ✦ All 4 Ratio Categories with Formulas
- ✦ Cash Flow Statement & Analysis Tools
- ✦ Practical 12-Point Stock Checklist



What You Will Learn

Your complete roadmap — from zero to stock analyst

01 Foundation of Fundamental Analysis

02 Financial Statements Overview

03 Balance Sheet — Deep Dive

04 Statement of Profit & Loss

05 Cash Flow Statement (AS-3)

06 Tools: Comparative & Common Size

07 Accounting Ratios — All 4 Categories

08 Practical Application & Stock Picking



What is Fundamental Analysis?

Buying businesses, not just stock tickers

"In the short run, the market is a voting machine. In the long run, it is a WEIGHING MACHINE." — Benjamin Graham

Definition

FA studies the TRUE (intrinsic) value of a company by examining its financials, business model, management & industry.

Key Question: Is this stock WORTH more than its current price?

The Goal

Find stocks that are UNDERVALUED — trading below their intrinsic value.

Buy ₹100 worth of business for ₹70. Hold them until the market recognises their true worth.

Time Horizon

Designed for LONG-TERM investors (1–5+ years). NOT for day trading or speculation.

Think like a business OWNER, not a gambler. Patience is your greatest competitive edge.

Fundamental vs Technical Analysis



Two powerful tools — different purposes

PARAMETER	FUNDAMENTAL ANALYSIS	TECHNICAL ANALYSIS
Focus	Company financials, business quality, intrinsic value	Price charts, patterns, volume & momentum
Time Horizon	Long-term: months to years	Short-term: minutes to weeks
Data Used	Balance Sheet, P&L, Cash Flow, Industry Reports	Candlestick charts, RSI, MACD, Bollinger Bands
Used By	Value investors, Warren Buffett, institutional investors	Traders, F&O players, short-term speculators
Key Question	Is the stock WORTH buying at this price?	Will the price MOVE up or down soon?
Risk Profile	Requires patience, ignores short-term noise	Requires speed, strict stop-losses essential

 **Pro Tip: Great investors use FA to PICK the right stock and TA to TIME the best entry point.**



The 3 Financial Statements

Mandated by Companies Act, 2013 — Schedule III

Section 129 of Companies Act, 2013 requires every company to prepare: Balance Sheet + Statement of Profit & Loss + Cash Flow Statement + Notes to Accounts



BALANCE SHEET

Position Statement — As at 31st March

- ▶ Shows what company OWNS (Assets) & OWES (Liabilities & Equity)
- ▶ Prepared as at a specific DATE — a snapshot in time
- ▶ Assets = Shareholders' Funds + Total Liabilities
- ▶ Classified into Non-current & Current items
- ▶ Format: Schedule III, Part I of Companies Act

Key Q: WHAT does the company own and owe?



STATEMENT OF P&L

Income Statement — For the Year Ended 31st March

- ▶ Shows Revenue, Expenses, and resulting Profit or Loss
- ▶ Prepared for a full PERIOD (financial year)
- ▶ Revenue from Operations + Other Income
- ▶ Less: All Expenses = Profit Before Tax
- ▶ Format: Schedule III, Part II of Companies Act

Key Q: Is the company PROFITABLE?



CASH FLOW STATEMENT

Inflows & Outflows — As per AS-3

- ▶ Shows actual CASH movements (not just accounting profits)
- ▶ Three sections: Operating, Investing, Financing
- ▶ Critical insight: Profit $\neq$ Cash (most important distinction!)
- ▶ Prepared as per Accounting Standard AS-3
- ▶ Reveals the REAL financial health of the business

Key Q: Is the company generating REAL CASH?



Balance Sheet — Equity & Liabilities Side

Schedule III, Part I — Companies Act, 2013

I. EQUITY AND LIABILITIES

1. Shareholders' Funds

- (a) Share Capital
- (b) Reserves and Surplus
- (c) Money Received against Share Warrants

2. Share Application Money Pending Allotment

Amount received where allotment is pending as on Balance Sheet date

3. Non-Current Liabilities

- (a) Long-term Borrowings — debentures, bonds, term loans from banks
- (b) Deferred Tax Liabilities (Net)
- (c) Other Long-term Liabilities
- (d) Long-term Provisions — gratuity, leave encashment etc.

4. Current Liabilities

- (a) Short-term Borrowings — bank overdraft, cash credit
- (b) Trade Payables — amounts owed to suppliers
- (c) Other Current Liabilities — unpaid dividends, expenses due
- (d) Short-term Provisions — provision for tax, warranties etc.

TOTAL (Equity & Liabilities)

Must equal TOTAL ASSETS — this is the fundamental accounting equation



ACCOUNTING EQUATION: Assets = Shareholders' Funds + Total Liabilities (Always balances — without exception!)



Balance Sheet — Assets Side

Non-Current & Current Assets — Schedule III, Part I

NON-CURRENT ASSETS

Fixed Assets — Tangible

Land, Building, Plant & Machinery, Vehicles, Furniture & Fixtures, Computers

Fixed Assets — Intangible

Goodwill, Patents, Trademarks, Computer Software, Mining Rights, Licences

Capital Work-in-Progress

Tangible assets under CONSTRUCTION — not yet ready for use

Non-current Investments

Investments held to RETAIN (not sell) — equity, preference shares, debentures, property

Long-term Loans & Advances

Capital advances (for buying fixed assets), Security deposits (electricity, telephone)

Other Non-current Assets

Unamortised expenses; long-term trade receivables due after 12 months

CURRENT ASSETS

Current Investments

Held for <12 months — equity shares, mutual funds, government securities

Inventories (Stock)

Raw Materials, Work-in-Progress, Finished Goods, Stock-in-Trade, Loose Tools

Trade Receivables (Debtors)

Bills receivable within 12 months or Operating Cycle of the business

Cash & Cash Equivalents

Cash in Hand, Cheques, Bank Balance, Bank Deposits (maturity <12 months)

Short-term Loans & Advances

Advance tax paid, advances to suppliers, loans receivable within 12 months

Other Current Assets

Prepaid Expenses, Interest Accrued on Investments, Dividend Receivable



Current = realisable within 12 months or Operating Cycle. Non-current = beyond 12 months. This determines classification!



Understanding Share Capital

Four types every investor must know — from Authorised to Paid-up

Authorised Capital

Maximum capital a company CAN issue, as stated in Memorandum of Association.

- ▶ Also called Nominal Capital or Registered Capital
- ▶ Cannot issue shares beyond this limit
- ▶ Shown in Notes to Accounts — NOT as a liability
- ▶ Example: If authorised = ₹10 Crore, company cannot issue shares worth ₹12 Crore

Issued Capital

That part of Authorised Capital which the company has actually ISSUED to shareholders.

- ▶ Issued Capital $\leq$ Authorised Capital (always)
- ▶ Includes shares issued for cash AND for consideration other than cash (e.g., for acquiring assets)
- ▶ Shown in Notes to Accounts — NOT on face of Balance Sheet

Subscribed Capital

That part of Issued Capital which investors have actually SUBSCRIBED (applied for & accepted).

- ▶ Subscribed & Fully Paid-up: Full face value called AND received
- ▶ Subscribed but Not Fully Paid-up: Calls pending or calls-in-arrears exist
- ▶ This figure is shown on the FACE of the Balance Sheet

Paid-up Capital

Actual amount RECEIVED by the company against share calls made.

- ▶ Paid-up = Subscribed Capital – Calls-in-Arrears
- ▶ This is the MOST IMPORTANT figure for investors
- ▶ Calls-in-Advance is shown under Other Current Liabilities
- ▶ Market cap is based on this share count

KEY FORMULA: Paid-up Capital = Subscribed Capital – Calls-in-Arrears



Reserves & Surplus

Accumulated profits & capital gains — strength of the company

Reserve = Amount set aside from profits for future needs. NOT a liability — it belongs to shareholders!

Capital Reserve

Created from CAPITAL profits (non-distributable)

- ▶ Profit on sale of fixed assets
- ▶ Profit on reissue of forfeited shares
- ▶ Purchase of business at bargain price

Capital Redemption Reserve

Created when company buys back shares using free reserves

- ▶ Equal to nominal value of shares bought back
- ▶ Can be used to issue fully paid BONUS shares

Securities Premium Reserve

Amount received ABOVE face value on share issue

- ▶ FV = ₹10, issued at ₹25 → ₹15 is premium
- ▶ Usable for: bonus shares, buy-back, writing off share issue expenses

Debentures Redemption Reserve

Required by law (Section 71) before redemption

- ▶ Company invests matching amount in specified assets
- ▶ Mandatory for non-banking companies

Revaluation Reserve

Created when fixed assets are revalued UPWARD

- ▶ Cannot be used for dividend / bonus shares
- ▶ Debited when asset value decreases or asset is sold

Surplus (Balance in P&L)

Accumulated PROFITS not yet distributed as dividend

- ▶ Debit balance (accumulated loss) → shown as NEGATIVE
- ▶ Current year profit ADDED; DRR & dividends DEDUCTED



Non-Current & Current Liabilities

The golden rule: Does it need to be paid within 12 months / Operating Cycle?

LONG-TERM BORROWINGS (Non-Current)

- ▶ Debentures — debt securities issued to the public
- ▶ Bonds — long-term government-like debt instruments
- ▶ Term Loans from Banks (repayable after >12 months from BS date)
- ▶ Public Deposits — collected from public for >1 year

LONG-TERM PROVISIONS (Non-Current)

- ▶ Provision for Gratuity (employees retiring after 12 months)
- ▶ Provision for Leave Encashment (long-term employees)
- ▶ Provision for Warranties (claims expected after 12 months)
- ▶ Any other long-term provision for future known liabilities

SHORT-TERM BORROWINGS (Current)

- ▶ Loans repayable on demand — bank overdraft, cash credit
- ▶ Bank Overdraft or Cash Credit from banks
- ▶ Loans from other parties repayable within 12 months
- ▶ Short-term deposits (within 12 months or operating cycle)

OTHER CURRENT LIABILITIES

- ▶ Current Maturities of Long-term Debts (installments due soon)
- ▶ Interest Accrued and Due on Borrowings
- ▶ Income Received in Advance (unearned revenue)
- ▶ Unpaid Dividends, Calls-in-Advance, Outstanding Expenses



Non-Current & Current Assets

Assets realisable within 12 months = Current; beyond = Non-current

NON-CURRENT ASSETS

Fixed Assets — Tangible

Land, Building, Plant & Machinery, Vehicles, Furniture & Fixtures, Computers

Fixed Assets — Intangible

Goodwill, Patents, Trademarks, Computer Software, Mining Rights, Licences

Capital Work-in-Progress

Tangible assets under CONSTRUCTION — not yet ready for use

Non-current Investments

Held to RETAIN — equity, preference, debentures, investment property

Long-term Loans & Advances

Capital Advances for fixed assets; Security Deposits (electricity, telephone)

Other Non-current Assets

Unamortised expenses written off after 12 months; long-term trade receivables

CURRENT ASSETS

Current Investments

Investments held for <12 months—equity, mutual funds, government securities

Inventories (Stock)

Raw Materials, Work-in-Progress, Finished Goods, Stock-in-Trade, Loose Tools

Trade Receivables

Debtors + Bills Receivable — receivable within 12 months or Operating Cycle

Cash & Cash Equivalents

Cash in Hand, Cheques, Bank Balance, Bank Deposits (maturity <12 months)

Short-term Loans & Advances

Loans receivable <12 months; Advance Tax paid; Advance to suppliers

Other Current Assets

Prepaid Expenses, Interest Accrued on Investments, Dividend Receivable



Provision vs Reserve

A distinction that appears in every Board exam AND in real analysis

BASIS	PROVISION	RESERVE
Nature	A LIABILITY or diminution in asset value	SHAREHOLDERS' money — not a liability
Creation	Created even when there is a LOSS (mandatory charge against profit)	Created only out of PROFITS (appropriation — not a charge)
Purpose	Created for a SPECIFIC known liability or expense	May be general (General Reserve) or specific (DRR)
Shown In	Statement of P&L — as an EXPENSE	Balance Sheet under Shareholders' Funds
Investable?	CANNOT be invested outside the business	CAN be invested outside (then called a FUND)
Legal Basis	Required by Accrual Concept & Prudence	Matter of financial prudence & management decision
Examples	Provision for Tax, Provision for Doubtful Debts, Provision for Gratuity	Capital Reserve, DRR, General Reserve, Securities Premium



Statement of Profit & Loss — Format

Schedule III, Part II — the company's income report card

I. Revenue from Operations	<i>Net Sales / Service Revenue / Interest & Dividend (for finance companies)</i>
II. Other Income	<i>Interest earned by non-finance co., dividend, profit on sale of assets</i>
III. TOTAL REVENUE (I + II)	<i>Grand total of all income</i>
IV. EXPENSES	<i>All costs and charges incurred during the year</i>
Cost of Materials Consumed	<i>Opening Material + Purchases of Material – Closing Material (manufacturing)</i>
Purchases of Stock-in-Trade	<i>Cost of goods purchased for direct resale (trading companies)</i>
Changes in Inventories	<i>Opening Inventory (FG, WIP, SIT) – Closing Inventory</i>
Employee Benefit Expenses	<i>Salaries, PF contribution, Gratuity, Leave encashment, ESOP</i>
Finance Costs	<i>Interest on borrowings, bank charges, premium on redemption of debentures</i>
Depreciation & Amortisation	<i>On Tangible Assets (Depreciation) + On Intangible Assets (Amortisation)</i>
Other Expenses	<i>Rent, Power, Carriage, Advertisement, Repairs, Audit fees, Miscellaneous</i>
TOTAL EXPENSES	<i>Sum of all expense items above</i>
V. Profit Before Tax (III – IV)	<i>Operating + Non-operating profit before income tax deduction</i>
VI. Less: Tax Expense	<i>Income Tax payable for the year + Deferred Tax adjustment</i>
VII. PROFIT FOR THE PERIOD (PAT)	<i>Net Profit — transferred to Surplus under Reserves & Surplus</i>



Revenue from Operations vs Other Income

Critical distinction — gets tested in exams AND real analysis

REVENUE FROM OPERATIONS (Core Business)

Manufacturing Company

Net Sales (Sales – Sales Return)
Sale of Scrap generated from manufacturing
Example: Tata Steel — steel sales + scrap sales

Trading Company

Net Sales of goods purchased for resale
Example: DMart — sells FMCG products at markup

Service Company

Fee earned from rendering professional services
Example: TCS — IT services fee; law firms earn legal fees

Financial Company

Interest Earned on loans given (banks, NBFCs)
Dividend on strategic investments held
Example: HDFC Bank — interest on home loans

OTHER INCOME (Non-Operating / Incidental)

Interest on Fixed Deposits

For NON-FINANCE company — bank FD interest is NOT core business
For Finance company — interest IS Revenue from Operations

Dividend Earned

Dividend received on investments by non-finance company
For finance company — dividend is Revenue from Operations

Profit on Sale of Assets

Gain when Fixed Asset sold ABOVE book value
Not regular income — hence classified as Other Income

Miscellaneous Income

Rent received (non-core), Commission earned (non-core)
Bad Debts Recovered, Excess Provision Written Back



Cash Flow Statement — Operating Activities (CFO)

Section A: Cash generated from the CORE business operations

"Revenue is vanity. Profit is sanity. Cash is REALITY." CFO > PAT consistently = Quality business

INDIRECT METHOD — CFO

Net Profit Before Tax	Starting point
Add: Depreciation & Amortisation	Non-cash expense — added back
Add: Loss on Sale of Fixed Assets	Non-operating loss — added back
Less: Profit on Sale of Fixed Assets	Non-operating income — deducted
Less: Interest/Dividend Received	Non-operating income — deducted
Add: Interest/Finance Costs Paid	Non-operating expense — added back
Changes in Working Capital	↑CA = outflow; ↑CL = inflow
Less: Tax Paid	Direct taxes paid during the year
= NET CASH FROM OPERATIONS	<i>The final CFO figure</i>

HOW TO INTERPRET CFO

✓ CFO > PAT

QUALITY earnings. Business collects MORE cash than it reports as profit. Ideal scenario.

Examples: Asian Paints, TCS, HUL consistently show this

⚠ CFO ≈ PAT

Normal. Cash closely tracks reported profit. Monitor trend over 3-5 years. Still check working capital changes carefully.

🚩 CFO < PAT consistently

Warning! Profits not converting to cash. May indicate poor collection, channel stuffing, or creative accounting. Investigate deeply!

💣 Negative CFO (mature company)

BURNING cash from operations. Example: IL&FS — consistently negative CFO was a red flag for years before its collapse.



Cash Flow — Investing (CFI) & Financing (CFF)

Sections B & C: How is money invested and how is it funded?

B. INVESTING ACTIVITIES (CFI)

Purchase of Fixed Assets (CAPEX) **OUTFLOW ↓**

Sale of Fixed Assets **INFLOW ↑**

Purchase of Long-term Investments **OUTFLOW ↓**

Sale of Long-term Investments **INFLOW ↑**

Interest & Dividend Received **INFLOW ↑**

Loans Given to Others **OUTFLOW ↓**

Loans Recovered from Others **INFLOW ↑**

Negative CFI = Company INVESTING in growth ✓
Positive CFI = May be selling assets — investigate why

C. FINANCING ACTIVITIES (CFF)

Issue of Shares (IPO, Rights, Bonus) **INFLOW ↑**

Buyback of Shares **OUTFLOW ↓**

Issue of Debentures / Loans Taken **INFLOW ↑**

Repayment of Loans / Debentures **OUTFLOW ↓**

Dividend Paid (previous year's) **OUTFLOW ↓**

Interest Paid on Borrowings **OUTFLOW ↓**

Negative CFF = Paying back debt + dividends ✓
Positive CFF = Raising more debt — check why!



Comparative Financial Statements

Horizontal Analysis: How has the company CHANGED year over year?

Show figures for TWO years side by side, with Absolute Change (₹) and % Change calculated. Helps spot TRENDS.

Particulars	Year 1 (₹)	Year 2 (₹)	Absolute Change	% Change
Revenue from Operations	₹15,00,000	₹18,00,000	+ ₹3,00,000	+ 20.00%
Cost of Goods Sold	₹9,00,000	₹10,80,000	+ ₹1,80,000	+ 20.00%
GROSS PROFIT	₹6,00,000	₹7,20,000	+ ₹1,20,000	+ 20.00%
Operating Expenses	₹3,00,000	₹3,15,000	+ ₹15,000	+ 5.00%
PROFIT BEFORE TAX	₹3,00,000	₹4,05,000	+ ₹1,05,000	+ 35.00%
Tax (@ 30%)	₹90,000	₹1,21,500	+ ₹31,500	+ 35.00%
NET PROFIT (PAT)	₹2,10,000	₹2,83,500	+ ₹73,500	+ 35.00%

✓ Revenue ↑ 20% ✓ Expenses grew only 5% vs revenue 20% — operating LEVERAGE at work! ✓ PBT ↑ 35% >> Revenue 20% — margins expanding

📌 **Formula: % Change = (Change ÷ Previous Year) × 100**

Common Size Statements



Vertical Analysis: What % of total revenue or assets is each item?

Each line item expressed as % of BASE — Revenue from Operations (P&L) or Total Assets (Balance Sheet). Enables comparison across companies of different sizes.

COMMON SIZE P&L (Base = Revenue)		
Revenue from Operations	₹20,00,000	100.0%
Cost of Materials	₹9,00,000	45.0%
Employee Expenses	₹3,00,000	15.0%
Finance Costs	₹80,000	4.0%
Depreciation	₹1,20,000	6.0%
Other Expenses	₹2,00,000	10.0%
Profit Before Tax	₹4,00,000	20.0%
NET PROFIT (PAT)	₹2,80,000	14.0%

COMMON SIZE BALANCE SHEET (Base = Total Assets)		
Total Assets	₹50,00,000	100.0%
Fixed Assets	₹30,00,000	60.0%
Investments (NC)	₹5,00,000	10.0%
Inventories	₹6,00,000	12.0%
Trade Receivables	₹4,00,000	8.0%
Cash & Equivalents	₹3,00,000	6.0%
Other CA	₹2,00,000	4.0%
Total	₹50,00,000	100.0%



Key Use: Compare TWO companies of DIFFERENT sizes, or track COST STRUCTURE changes of same company over multiple years.



Accounting Ratios — Your Analyst's Toolkit

Numbers alone mean nothing. Ratios give them CONTEXT and MEANING.

01 LIQUIDITY RATIOS

Can it pay **SHORT-TERM** debts?

Includes: Current Ratio • Quick (Acid Test) Ratio

📌 HUL Current Ratio $\approx 1.4x$

02 SOLVENCY RATIOS

Can it survive **LONG-TERM**?

Includes: Debt-Equity • Total Assets to Debt • Interest Coverage • Proprietary Ratio

📌 Hero MotoCorp D/E ≈ 0.04 (near debt-free)

03 TURNOVER RATIOS

How **EFFICIENTLY** is capital used?

Includes: Inventory • Debtors • Creditors • Working Capital • Fixed Assets Turnover

📌 Asian Paints Inventory TO $\approx 8x$ (efficient)

04 PROFITABILITY RATIOS

Is it **PROFITABLE** enough?

Includes: GP Ratio • NP Ratio • Operating Ratio • ROI • ROE • EPS

📌 TCS NP Ratio $\approx 19\text{-}20\%$ (world-class margins)



Liquidity Ratios

Can the company meet its *SHORT-TERM* obligations comfortably?

CURRENT RATIO

Formula: $\text{Current Assets} \div \text{Current Liabilities}$

For every ₹1 of short-term debt, company should ideally have ₹2 of current assets.

✓ CR > 2.0	Very comfortable liquidity
✓ CR = 1.5–2.0	Comfortable
⚠ CR = 1.0–1.5	Monitor carefully
🚩 CR < 1.0	Danger! May default on short-term payments

Note: Current Assets = Inventories + Trade Receivables + Cash & Equivalents + Short-term Investments + Other CA

🚩 HUL: CR ≈ 1.4x (fast operating cycle so lower is fine) • Asian Paints: CR ≈ 1.8x • TCS: CR > 3x (asset-light IT) Ideal: 2:1

QUICK RATIO (ACID TEST RATIO)

Formula: $\text{Quick Assets} \div \text{Current Liabilities}$

More stringent than Current Ratio — *EXCLUDES Inventories and Prepaid Expenses as they are NOT immediately liquid.*

Quick Assets = Current Assets – Inventories – Prepaid Expenses (Only Cash, Bank, Marketable Securities, Trade Receivables)

✓ QR > 1.0	Can pay all current liabilities immediately if needed (Ideal: 1:1)
⚠ QR < 1.0	Dependent on converting inventory to pay dues

🚩 IT companies (TCS, Infosys): QR > 2 (no inventory) • Manufacturing: QR 0.8–1.2x (normal) • FMCG: QR 0.7–1.0x (fast turnover compensates)



Solvency Ratios — Part 1

Can the company survive LONG-TERM? Debt management check

DEBT-TO-EQUITY RATIO (D/E)

Formula: Long-term Debt ÷ Shareholders' Funds

Measures how much debt the company uses vs owners' equity to fund its operations.

✓ **D/E < 0.5** Very safe — minimal leverage

✓ **D/E < 1.0** Acceptable for most industries

⚠ **D/E 1–2** Monitor — moderate risk

🚩 **D/E > 2.0** High risk — excessive leverage

Note: Banking sector has naturally high D/E (different business model — they LEND money)

🌟 **Hero MotoCorp: D/E ≈ 0.04 (near debt-free, very safe) • Reliance: D/E ≈ 0.5 • Vodafone Idea: Very high D/E (extreme risk, struggling)**

TOTAL ASSETS TO DEBT RATIO

Formula: Total Assets ÷ Long-term Debt

How many times total assets COVER the long-term debt. Shows security available to lenders.

✓ **Ratio > 2x** Comfortable — assets well in excess of debt

✓ **Ratio > 3x** Very comfortable

🚩 **Ratio < 1.5x** Asset coverage is low — higher default risk

Example: Total Assets = ₹50 Crore, Long-term Debt = ₹10 Crore → Ratio = 5 times

Meaning: Even if assets fall 80% in value, debt can still be repaid!

🌟 **Higher ratio = greater comfort for lenders and investors**

Solvency Ratios — Part 2

Interest Coverage & Proprietary Ratio

INTEREST COVERAGE RATIO (ICR)

Formula: $\text{EBIT} \div \text{Interest on Long-term Debt}$

How many times the company can pay its interest from operating earnings.
Also called *Debt Service Coverage Ratio*.

✓ ICR > 5x	Excellent — very comfortable debt servicing
✓ ICR 3–5x	Good — comfortable margin
⚠ ICR 1.5–3x	Borderline — limited safety
🚩 ICR < 1.5x	Red Flag! Company struggling to pay interest
💣 ICR < 1.0x	Danger! Not even covering interest costs

⚠ In 2012–2013, many Indian infra companies (GMR, GVK, Lanco) had ICR < 1.5x. Their stock prices crashed 80–90%.

✦ Bajaj Auto: ICR > 50x (no debt) • Asian Paints: ICR > 30x (very safe)

PROPRIETARY RATIO

Formula: $\text{Shareholders' Funds} \div \text{Total Assets}$

What proportion of total assets is financed by OWNERS' EQUITY (not debt).
Also called: *Equity Ratio* or *Shareholders' Funds Ratio*.

✓ Ratio > 0.5	More than half funded by equity — strong balance sheet
✓ Ratio > 0.7	Very low dependence on debt
⚠ Ratio < 0.3	High dependence on debt — monitor carefully

⚠ Complement: Debt Ratio = 1 – Proprietary Ratio
If Proprietary Ratio = 0.65, Debt Ratio = 0.35 → 35% debt funded

✦ TCS: Proprietary Ratio ≈ 0.65 (65% equity-funded — very strong) • ₹40L equity out of ₹60L total assets = 0.67 ratio



Activity / Turnover Ratios — Part 1

Inventory & Debtors: How fast is the business cycle spinning?

INVENTORY TURNOVER RATIO

Formula: $\text{Cost of Revenue from Operations} \div \text{Average Inventory}$

Average Inventory = (Opening Inventory + Closing Inventory) $\div$ 2

✓ **Higher ratio = faster moving goods = more efficient inventory management**

⚠ **Lower ratio = slow-moving stock = risk of obsolescence, capital tied up**

✦ Asian Paints: Inventory TO $\approx$ 8x (sold & restocked 8 times in a year — excellent!)
Steel companies: $\approx$ 4–6x (capital-intensive, slower is normal for sector)

▢ **Inventory Conversion Period (Days) = $365 \div \text{Inventory Turnover Ratio}$**
If TO = 8x $\rightarrow 365 \div 8 = 45.6$ days to convert stock to sales. Lower days = BETTER

DEBTORS (TRADE RECEIVABLES) TURNOVER RATIO

Formula: $\text{Net Credit Sales} \div \text{Average Trade Receivables}$

Average Debtors = (Opening Debtors + Closing Debtors) $\div$ 2

✓ **Higher ratio = faster collection = better cash management**

⚠ **Lower ratio = slow collection = risk of bad debts**

✦ FMCG (HUL, Nestle): Very high ratio (mostly cash sales, minimal credit)
B2B companies: Debtors TO = 4–8x (credit given to business customers)

▢ **Debt Collection Period = $365 \div \text{Debtors Turnover Ratio}$**
If TO = 7.3x $\rightarrow 50$ days to collect. Compare with credit period given (30 or 60 days?)



Activity / Turnover Ratios — Part 2

Creditors, Working Capital & Fixed Assets Turnover

CREDITORS (TRADE PAYABLES) TURNOVER RATIO

Formula: $\text{Net Credit Purchases} \div \text{Average Trade Payables}$

How quickly the company pays its suppliers.

📌 **Creditor Payment Period** = $365 \div \text{Creditors Turnover Ratio}$

A LONGER payment period = company holds cash longer = GOOD for cash flow
But too long = may damage supplier relationships!

- 🔴 Compare Debtor Collection Period vs Creditor Payment Period:
 - ▶ If you collect in 40 days but pay in 60 days → FREE credit from suppliers! (Healthy)
 - ▶ If you collect in 60 days but pay in 30 days → You need additional funding

WORKING CAPITAL TURNOVER RATIO

Formula: $\text{Revenue from Operations} \div \text{Net Working Capital}$

How efficiently the company uses its Working Capital to generate revenue.

Net Working Capital = Current Assets – Current Liabilities

- ✅ Higher ratio = more revenue per ₹ of WC = highly efficient
- ⚠️ Negative WC = CL > CA (may need immediate attention)

🔴 Revenue = ₹50 Lakh, WC = ₹10 Lakh
WC Turnover = $50 \div 10 = 5$ times
Meaning: Every ₹1 of working capital generates ₹5 of revenue

FIXED ASSETS TURNOVER RATIO

Formula: $\text{Revenue from Operations} \div \text{Net Fixed Assets}$

How efficiently the company uses its Fixed Assets to generate revenue.

Net Fixed Assets = Gross Fixed Assets – Accumulated Depreciation

- ✅ Higher ratio = better utilisation of capital assets
- 🔴 Compare within the SAME SECTOR always!

- ▶ IT companies (TCS): Very high ratio (asset-light — rented offices)
- ▶ Steel/Cement: 1.5–2x (capital-intensive, massive plant)
- ▶ Automobile: 3–5x (moderate capital intensity)



Profitability Ratios — Part 1

GP Ratio, NP Ratio & Operating Ratio — measuring the margins

GROSS PROFIT (GP) RATIO

Formula: $(\text{Gross Profit} \div \text{Revenue from Operations}) \times 100$

% of revenue retained AFTER deducting direct costs of production (Cost of Goods Sold).

Gross Profit = Revenue from Operations – Cost of Revenue from Operations

- ✓ Higher GP Ratio = stronger PRICING POWER and/or production efficiency
- ✚ Compare with competitors and track trend over 5 years

Industry benchmarks (approximate):

- ▶ FMCG (HUL, Nestle): 45–55% (strong brand premium)
- ▶ IT Services (TCS, Infosys): 30–40% (people costs are variable)
- ▶ Steel / Commodity: 15–25% (price-takers, thin margins)
- ▶ Retail / Trading: 5–15% (high volumes, low margins per unit)

NET PROFIT (NP) RATIO

Formula: $(\text{Net Profit After Tax} \div \text{Revenue from Operations}) \times 100$

% of each rupee of sales that becomes ACTUAL PROFIT after ALL expenses and taxes.

Most commonly tracked profitability metric by analysts and investors.

- ✓ Higher is better — compare within the same sector
- ✚ Trend matters more than absolute number — look for improvement

✚ TCS: NP Ratio ≈ 19–20% (world-class IT margins)

✚ Tata Steel: NP Ratio ≈ 4–8% (cyclical metal company)

✚ Infosys: NP Ratio ≈ 17–18% (consistent, well-managed)

🚩 Company with DECLINING NP Ratio for 3 consecutive years = serious red flag!

OPERATING RATIO

Formula: $(\text{Cost of Revenue} + \text{Operating Expenses}) \div \text{Revenue} \times 100$

% of revenue CONSUMED by operations.

Note: Operating Profit Ratio = 100 – Operating Ratio

- ✓ LOWER Operating Ratio = BETTER (less cost per rupee of revenue)

⚠ Rising Operating Ratio trend = deteriorating efficiency = margin compression

✚ HUL Operating Ratio ≈ 76%
→ Operating Profit Ratio = 24%

✚ If Operating Ratio rises from 78% to 84% over 3 years → Costs rising faster than revenue
→ INVESTIGATE urgently!



Profitability Ratios — Part 2

ROI, ROE & EPS — the investor's most important metrics

RETURN ON INVESTMENT (ROI)

Formula: $(\text{Net Profit Before Interest \& Tax} \div \text{Capital Employed}) \times 100$

How effectively the company uses ALL capital (debt + equity) to generate operating profit.
 Capital Employed = Total Assets – Current Liabilities (or Shareholders' Funds + Long-term Debt)

✓ ROI > 15% = Good | ROI > 20% = Excellent

💡 KEY: ROI must exceed WACC

✓ ROI > WACC → Company CREATING value

🚩 ROI < WACC → Company DESTROYING value

🚩 Pidilite Industries: ROI ≈ 28–30%

🚩 Asian Paints: ROI ≈ 30%

RETURN ON EQUITY (ROE)

Formula: $(\text{Net Profit} - \text{Preference Dividend}) \div \text{Shareholders' Funds} \times 100$

Returns generated specifically for EQUITY shareholders — the most watched profitability metric.
 DuPont: $\text{ROE} = \text{Net Profit Margin} \times \text{Asset Turnover} \times \text{Financial Leverage}$

✓ ROE > 15% = Good | > 20% = Excellent | > 25% = World-class

🚩 Look for consistent 5-year ROE!

🚩 Asian Paints ROE ≈ 28%

🚩 TCS/Infosys ROE ≈ 35–40%

🚩 Low ROE with high debt = Leverage masking poor operations

🚩 One good year means nothing — check 5-year trend

EARNINGS PER SHARE (EPS)

Formula: $(\text{Net Profit} - \text{Preference Dividend}) \div \text{Number of Equity Shares}$

Profit earned per equity share — foundation on which P/E ratio is built.
 Growing EPS = Growing company value = Rising intrinsic value per share

P/E Ratio = Market Price per Share ÷ EPS
 Fair Value (rough) = P/E Multiple × EPS

🚩 EPS = ₹50, sector P/E = 25x
 → Fair Value ≈ ₹1,250

🚩 Infosys EPS grows at ≈ 10–12% p.a. consistently → supports rising stock price

🚩 EPS growing FASTER than revenue = margins expanding = quality compounding

Master Ratio Reference Sheet — Part 1



Liquidity, Solvency & Turnover ratios at a glance

Ratio	Formula	Ideal	Interpretation
Current Ratio	$CA \div CL$	2:1	Short-term liquidity
Quick / Acid Test	$(CA - Inv - Prepaid) \div CL$	1:1	Immediate paying ability
Debt-to-Equity	$Long\text{-}term\ Debt \div SHF$	< 1 preferred	Lower = safer, less leverage
Total Assets to Debt	$Total\ Assets \div LT\ Debt$	> 2x	Asset coverage of debt
Interest Coverage	$EBIT \div Interest\ Expense$	> 3x, ideally >5x	Debt servicing comfort
Proprietary Ratio	$SHF \div Total\ Assets$	> 0.5	Owner's equity stake
Inventory Turnover	$Cost\ of\ RFO \div Avg\ Inventory$	Higher = better	Speed of stock → sale
Debtors Turnover	$Net\ Credit\ Sales \div Avg\ Debtors$	Higher = better	Speed of cash collection
Creditors Turnover	$Net\ Credit\ Purchases \div Avg\ Creditors$	Compare with Debtors	Avg payment period to suppliers
W. Capital Turnover	$Revenue \div Working\ Capital$	Higher = better	Revenue per ₹ of working capital
Fixed Assets Turnover	$Revenue \div Net\ Fixed\ Assets$	Higher = better	Revenue per ₹ of fixed assets

Master Ratio Reference Sheet — Part 2



Profitability ratios — the most watched by investors

Ratio	Formula	Ideal	Interpretation
Gross Profit Ratio	$GP \div \text{Revenue} \times 100$	> 30% generally	Pricing power / production efficiency
Net Profit Ratio	$PAT \div \text{Revenue} \times 100$	Higher; compare peers	Bottom-line margin after all costs
Operating Ratio	$(\text{Cost of R\&D} + \text{Op. Expenses}) \div \text{Revenue} \times 100$	Lower = better	Operating efficiency — lower is better
Return on Investment	$NPBIT \div \text{Capital Employed} \times 100$	> 15%	> WACC = value creation for shareholders
Return on Equity	$(PAT - \text{Pref Div}) \div SHF \times 100$	> 15%; > 20% = excellent	Equity shareholder returns — most watched
Earnings per Share	$(PAT - \text{Pref Div}) \div \text{Equity Shares}$	Growing trend	Profit per equity share — basis of P/E
P/E Ratio	$\text{Market Price} \div \text{EPS}$	Compare within sector	How much you pay for ₹1 of earnings
P/B Ratio	$\text{Market Price} \div \text{Book Value per Share}$	1–3x generally	Price vs accounting net worth of company
PEG Ratio	$P/E \div \text{Earnings Growth Rate (\%)}$	< 1 = undervalued	P/E adjusted for growth — fairer comparison
EV/EBITDA	$\text{Enterprise Value} \div \text{EBITDA}$	< 10x = value zone	Ignores capital structure — compare across debt levels



Valuation — P/E & P/B Ratios

"Price is what you PAY. Value is what you GET." — Warren Buffett

P/E RATIO (Price-to-Earnings)

Formula: Market Price per Share ÷ Earnings per Share (EPS)

How much are you paying for ₹1 of company earnings?

- ✓ Lower P/E vs peers = potentially cheaper (compare WITHIN sector)
- ✓ Lower P/E vs own historical avg = potentially undervalued
- ⚠ Very high P/E = high growth expectations (any disappointment → crash)
- 🚩 Negative P/E = company making a LOSS (meaningless comparison)

P/E Interpretation varies by sector:

- ▶ Banking & Finance: Fair P/E = 10–25x
 - ▶ FMCG (HUL, Nestle): Premium P/E = 40–70x (quality commands premium)
 - ▶ IT (TCS, Infosys): P/E = 20–30x (stable growth)
 - ▶ Cyclical (Steel, Auto): Low P/E at peak cycle = TRAP!
- 💡 HDFC Bank at P/E 18x = reasonable
- 💡 Zomato at P/E 200x = growth must be exceptional to justify

P/B RATIO (Price-to-Book Value)

Formula: Market Price per Share ÷ Book Value per Share

*What are you paying vs company's net worth as per books?
Book Value = Shareholders' Funds ÷ No. of Equity Shares*

- ✓ P/B < 1 = Trading BELOW book value (potentially undervalued or distressed!)
- ✓ P/B = 1–3 = Generally fair for most businesses
- ⚠ P/B > 10 = Only justified if ROE is very high

P/B and ROE Relationship:

$$P/B = ROE \times P/E$$

High ROE business justifies high P/B.

Low ROE with high P/B = OVERVALUED.

- 🚩 Banking stocks: P/B 1.5–4x (asset-heavy, book value matters)
- 🚩 Asian Paints P/B ≈ 18–20x (justified by ROE of 28% consistently)
- 🚩 A steel company at P/B 0.7x = may be cheap OR has asset quality issues



Advanced Valuation Methods

EV/EBITDA, PEG Ratio, DCF & Graham Number

EV/EBITDA

Formula: Enterprise Value ÷ EBITDA

EV = Market Cap + Total Debt – Cash & Cash Equivalents

Better than P/E as it ignores capital structure differences — useful when comparing high-debt and low-debt companies.

- ✓ < 10x often considered value zone
- ✚ JSW Steel ≈ 6–7x | Compare within sector

GRAHAM NUMBER

Formula: $\sqrt{22.5 \times \text{EPS} \times \text{Book Value per Share}}$

Benjamin Graham's quick intrinsic value formula for conservative investors

If Market Price < Graham Number → Stock may be UNDERVALUED

- ✚ EPS = ₹50, BV = ₹300
- $\sqrt{(22.5 \times 50 \times 300)} = \sqrt{3,37,500} = ₹581$ Graham Number
- If CMP = ₹450 → Trading at 22% discount → potential BUY zone

PEG RATIO

Formula: P/E Ratio ÷ Earnings Growth Rate (%)

Adjusts P/E for growth rate — more fair for high-growth companies

- ✓ PEG < 1 = Undervalued relative to growth
- ✓ PEG = 1 = Fairly valued
- ✚ PEG > 2 = Expensive

- ✚ P/E = 30x, Growth = 30% p.a. → PEG = 1 (fair)
- ✚ P/E = 25x, Growth = 30% → PEG = 0.83 (cheap!)

DCF (Discounted Cash Flow)

Formula: $\sum [\text{FCF} / (1+\text{WACC})^n] + \text{Terminal Value}$

Most theoretically sound — projects future FCFs, discounts to present value using WACC

If DCF Value > CMP → Stock is Undervalued

- ⚠ Highly sensitive to growth rate and discount rate assumptions. Use as a RANGE.
- ✚ A change of 1% in WACC can change DCF output by 15–20%
- Always stress-test your assumptions



Step 1: Understand the Business First

"Never invest in a business you cannot explain to a 10-year-old" — Buffett

What Does It DO?

What product/service does it sell? Who are the customers?
Is it B2B or B2C? How does it make money — one-time sale, subscription, interest income, licensing?

- ✦ TCS sells IT services to global Fortune 500 companies (B2B)
- ✦ HDFC Bank earns interest on loans to individuals & businesses

Competitive Moat (Advantage)

Does the company have a DURABLE competitive advantage?

- ▶ Brand Moat: Nestle, Asian Paints, Page Industries
- ▶ Patent/IP: Sun Pharma, Divi's Laboratories
- ▶ Switching Cost: TCS, SAP (client stickiness)
- ▶ Network Effect: BSE, NSE, Zomato
- ▶ Cost Leadership: Reliance Retail, Bajaj Auto

Industry & Growth Trend

Which sector — IT, FMCG, Banking, Pharma, Auto, Defence, EV?
Is the sector growing (structural tailwind) or declining (headwind)?

- ✦ Tailwinds: Defence (PLI), Digital payments, Healthcare
- ✦ Headwinds: Legacy telecom, Coal (long-term), Paper & Print

Management Quality

Track record of delivering on guidance? Capital allocation wisdom?
Promoter salary vs company performance? Integrity track record?

- ✓ Great Managers: Uday Kotak (Kotak Bank), N.R. Narayana Murthy (Infosys)
- ▶ Warning: Frequent acquisitions in unrelated fields = value destroyer



How to Read an Annual Report — Part 1

The Annual Report is your BIBLE — everything is disclosed here

Annual Report contains: Board's Report • Auditor's Report • Financial Statements • Notes to Accounts • MD&A • Segment Report

01 Chairman's Letter & MD&A

START HERE every time. Management's own narrative about the business year.

- ▶ Tone: Is management honest about challenges or only highlighting positives?
- ▶ Forward guidance: What are they planning for next 2-3 years?
- ▶ Risks acknowledged: Competition, raw material, regulatory risks?
- ▶ Capital allocation plans: New factory? Acquisition? Debt repayment?

▶ Consistently upbeat language despite deteriorating financials = Management lacking transparency

02 Auditor's Report (Section 143)

Auditor independently verifies if statements give a TRUE & FAIR view.

- ▶ Clean (Unqualified) Opinion = Financials can be trusted
- ▶ Qualified Opinion = Auditor has reservations → deep dive required
- ▶ Emphasis of Matter = Something important highlighted by auditor
- ▶ Going Concern Note = Company may not survive → EXIT immediately

▶ Frequent auditor changes — auditors resign before major frauds are revealed (Satyam, IL&FS pattern)

03 Notes to Accounts

The DETAILS behind every number in the Balance Sheet and P&L.

- ▶ Note on Share Capital: Any new shares issued? ESOP dilution?
- ▶ Contingent Liabilities: Lawsuits, tax disputes pending — could become real liabilities
- ▶ Related Party Transactions (RPT): Goods from promoter entities at fair price?
- ▶ Accounting Policy changes: Depreciation method, revenue recognition?

▶ Large RPTs at non-market prices = promoter siphoning company funds

Red Flags — Warning Signs



Spot these BEFORE investing, not after losing money!

⚠ These patterns have preceded major stock crashes in India — IL&FS, Yes Bank, DHFL, Satyam, Gitanjali Gems, DHFL, PNB Housing

✗ PAT Growing but CFO Declining

Profits on paper but no cash coming in.
Revenue recognition issues, fake invoices.
Always: CFO should move in same direction as PAT. IL&FS, Satyam showed this before collapse.

✗ Frequent Auditor Changes

Classic pre-fraud pattern. Good companies keep same auditor for years.
Sudden resignation = auditor saw something they couldn't certify. Check how long current auditor is in place.

✗ Promoter Pledging > 20%

Promoter pledged shares to raise personal loans.
If share price falls → lenders force-sell → price crashes further → vicious cycle.
Check SEBI disclosures every quarter for pledge %. Trend matters!

✗ Trade Receivables Growing >> Revenue

Revenue up 20% but debtors up 50% = company not collecting.
Could indicate fake sales (sales recorded, no actual customer).
Debt Collection Period rising year after year = serious warning.

✗ Inventory Accumulating Rapidly

Inventory growth >> Revenue growth = products not selling.
Indicates demand weakness or price cuts coming (margin erosion).
Check: Inventory TO ratio declining trend for 3+ years.

✗ Unusual Related Party Transactions

Company paying inflated prices to promoter-owned suppliers.
Or giving interest-free loans to promoter entities.
Check Notes to Accounts: RPT section — compare with market rates.



FolioMax 12-Point Stock Checklist

Before investing in ANY stock — answer these 12 questions honestly

Score: 10–12 GREEN → Strong Buy | 7–9 GREEN → Consider | <7 GREEN → Avoid or Research More

01

BUSINESS

Do I understand exactly how this company makes money?

If NO → Skip. Invest only in your circle of competence.

02

SECTOR

Is the sector in a structural long-term growth trend?

If NO → Higher risk. Needs even stronger business quality.

03

MOAT

Does the company have a durable competitive advantage?

If NO → Profits will eventually be competed away by rivals.

04

GROWTH

Revenue + Profit growing consistently over 5 years?

If NO → Find out why. One bad year OK; declining trend is not.

05

MARGINS

Gross Profit & Operating margins stable or improving?

If Declining → Input cost pressure or pricing power being lost.

06

ROE/ROCE

ROE > 15% and ROCE > 15% consistently?

If NO → Capital not deployed efficiently. Dig deeper.

07

CASH FLOW

CFO consistently ≥ PAT over 5 years?

If NO → Profits not converting to real cash. Major red flag!

08

DEBT

D/E Ratio < 1 (or manageable for the sector)?

If NO → Need very high margins/CFO to safely service the debt.

09

LIQUIDITY

Current Ratio > 1.5 and Interest Coverage > 3x?

If NO → Short-term financial stress risk. Monitor closely.

10

VALUATION

P/E reasonable vs 5-yr historical avg and sector peers?

If Expensive → Even great business gives poor returns if overbought.

11

MANAGEMENT

Promoter holding stable? Pledge < 20%? Auditor clean?

If NO → Management confidence weak. Deep investigation needed.

12

CATALYST

Clear growth trigger identified for next 1-2 years?

If NO → Stock may stay undervalued for a long time. Time value lost.



Case Study: Asian Paints Ltd

Applying the FolioMax Framework to India's iconic paint company

NSE: ASIANPAINT | Sector: Consumer Discretionary | Market Cap: ~₹2.5 Lakh Crore | India's #1 paint company for 50+ years

**₹35,494
Cr**

Revenue (FY24)
↑ 2% YoY

**₹16,800
Cr**

Gross Profit
GP Margin ≈ 47%

₹5,332 Cr

Net Profit (PAT)
NP Margin ≈ 15%

₹55.6

EPS
P/E @ ₹2,500 ≈ 45x

≈ 28%

ROE
(Exceptional)

≈ 30%

ROCE
(World-class)

✓ CHECKLIST RESULTS — GREEN FLAGS

- ✓ Business: Selling paints — simple to understand (Buffett's circle of competence)
- ✓ Moat: #1 brand for 50+ years + 65,000+ dealer network (unmatched distribution)
- ✓ ROE 28%, ROCE 30%: Outstanding capital efficiency, sustained over 10+ years
- ✓ CFO > PAT consistently — real cash generation, profits backed by cash
- ✓ D/E ≈ 0: Virtually debt-free — zero financial risk, fully self-funded growth
- ✓ At ₹2,000–2,200 price levels: Margin of safety improves significantly

⚡ RISKS TO MONITOR

- ✗ P/E ≈ 45x — expensive vs 10-yr avg
- ✗ Crude oil / TiO₂ prices — raw material risk (30-35% of COGS)
- ✗ Grasim/Birla Opus: Large new competitor entering with ₹10,000 Cr capex
- ✗ Volume growth slowdown — rural demand weak (FY24)



Top 10 Mistakes Young Indian Investors Make

Learn from others' expensive lessons — completely free!

01

✗ Buying on Tips & News

✓ Every hot tip is someone else's exit. By the time it reaches you, it's already priced in. Research first!

03

✗ Revenue ≠ Profit Growth

✓ Company can grow revenue 30% while posting losses. Read the full P&L, not just the headline number.

05

✗ Panic Selling in Corrections

✓ Markets correct 20–30% regularly. If business thesis is intact, corrections are buying opportunities!

07

✗ Ignoring Promoter Pledging

✓ Pledge > 20% = hidden bomb. Price drop triggers forced selling → further crash → investor trap.

09

✗ Short-term Thinking

✓ Great stocks need 3-5 years. Frequent trading due to short-term volatility destroys compounding power.

02

✗ Ignoring Valuation

✓ Even the best stock destroys wealth at 150x P/E. Always check if price has a margin of safety.

04

✗ Not Reading Cash Flow

✓ Profits can be manipulated. Cash cannot. Always check if CFO is tracking PAT. IL&FS taught this lesson.

06

✗ Over-Diversifying (50+ stocks)

✓ Owning 50 stocks without deep research < owning 15 stocks with strong conviction. Quality beats quantity.

08

✗ Using Only 1-2 Ratios

✓ P/E alone is never enough. Use: GP + NP Ratio + ROE + ROCE + D/E + ICR + CFO together for full picture.

10

✗ Not Understanding the Business

✓ Investing in what you don't understand = gambling. If you can't explain it simply, don't invest in it.



10 Golden Rules of Fundamental Investing

Print this. Frame this. Follow this. Build wealth.

1

Understand Before You Invest

Only buy businesses you can explain simply. Circle of competence is sacred.

2

Read ALL 3 Financial Statements

Balance Sheet + P&L + Cash Flow together tell the complete, true story.

3

Cash Flow is the Real Truth

CFO > PAT = real quality business. Profits not backed by cash are suspect.

4

Valuation Always Matters

Even Nestle India at 300x P/E is a bad investment. Margin of safety first.

5

Use ALL 4 Ratio Categories

Liquidity + Solvency + Turnover + Profitability together paint the full picture.

6

Moat + Management = Compounding

Durable moat with honest management creates generational wealth. Both are essential.

7

Always Screen for Red Flags

Diverging CFO/PAT, pledging, auditor changes — catch these BEFORE they blow up.

8

Compare, Don't Analyse in Isolation

Ratios only mean something vs own history and vs industry peers together.

9

Read the Annual Report Fully

MD&A, auditor note, RPT section — the full truth is always in the Annual Report.

10

Patience is Your Competitive Edge

Fundamental investing rewards the patient. Time in market beats timing the market.



Thank You for Learning with FolioMax!

"The stock market is a device for transferring money from the impatient to the patient." — Warren Buffett

Start small. Stay consistent. Think long-term. Invest in knowledge first.